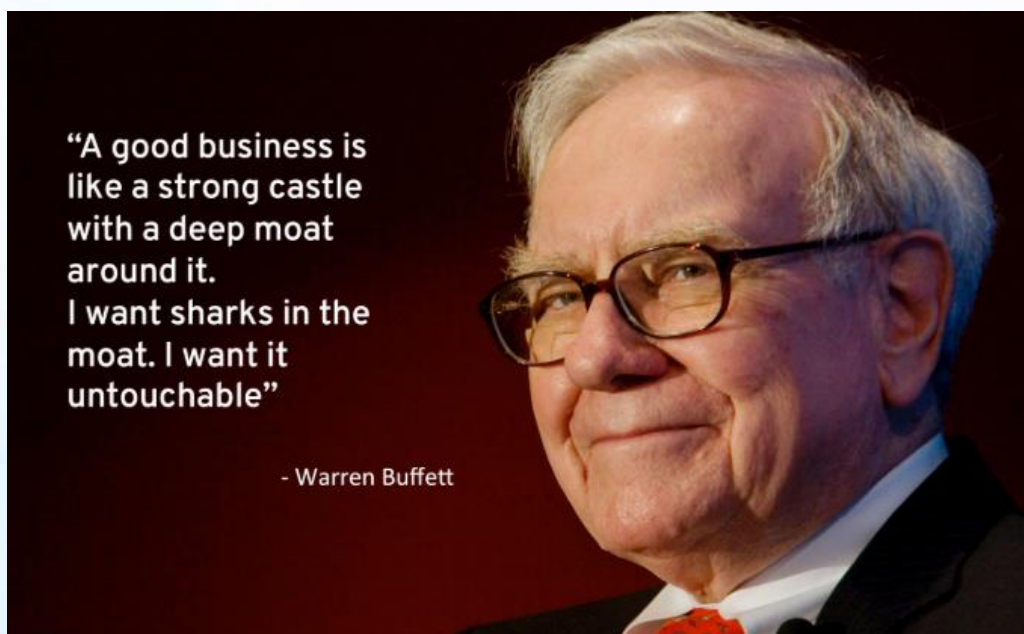


Unpacking the Mystery of MOAT



A Moat is a wide trench dug around a castle, often filled with water, with alligators and piranhas in it to fend off attackers. The wider the moat, the stronger the castle it surrounds.

Legendary investor Warren Buffet talks about businesses having sustainable competitive “MOATs”



What Warren implies by it is that moated businesses are the ones that can deliver profitable growth and market leadership for sustained periods of time. Let's try and deep dive into the sources of MOAT.

Identifying the Sources of MOAT

				
Intangible Assets	Switching Costs	Network Effect	Cost Advantage	Efficient Scale
Things such as brands, patents, and regulatory licenses that block competition and/or allow companies to charge more.	Whether in time or money, the expenses that a customer would incur to change from one producer.	Present when the value of a service grows as more people use a network.	Allows firms to sell at the same price as competition and gather excess profit and/or have to undercut	When a company serves a market limited in size, new competitors may not have an incentive to enter.

1. Cost Advantage



This is a type of MOAT that several Indian companies excel in. Classic examples include **Reliance Retail and Avenue Super Marts**, which operate ultra-low prices, ensuring high customer walk-ins. These companies operate on wafer-thin margins, but very high Asset turnover ensures a high ROCE business. **Trent Ltd**, which operates Zudio and Westside stores, is another example of Low cost acting as a MOAT along with smaller peers like **Vishal Mega Mart, V2 Retail**, etc. Indian Pharma players have captured the International Generic Medicine market with their relentless focus on cutting costs and on quality. Market leaders include, but are not limited to: **Sun Pharma, Cipla, Aurobindo, Lupin, Glenmark, etc.** The CRDMO (Contract Research Development and Manufacturing Organisation) players like **Divis Labs, Laurus Labs, Neuland, Bluejet Healthcare, Piramal Pharma and Syngene** are examples.

The Indian Software industry has risen in the ranks and has been a force to reckon with on the global stage, primarily banking on the cost arbitrage with the Western world. Companies like **TCS, Infosys, Wipro, HCL**, etc and many more have become such behemoths banking on this MOAT.

In the international scene, companies like **Costco and Amazon** have built their business models on this low-cost model, offering customers a wide range and low prices.



2. Switching Costs



Switching costs refer to the **barriers or inconveniences** a customer face when changing from one product, brand, or service provider to another. These can be **monetary, psychological, or operational**.

High switching costs create **customer lock-in**, providing companies a **competitive moat**.

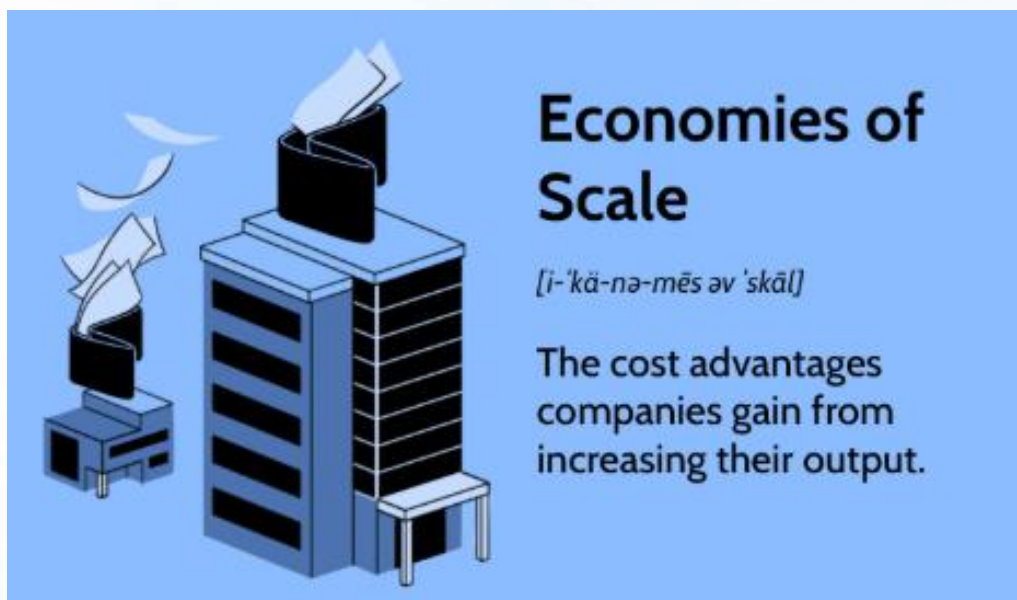
Apple is a classic example of high switching costs (No wonder Apple has such a dominant position. It features prominently in several sources of MOAT). Apple uses its Apple ecosystem, iCloud etc as barriers both physical and psychological to ensure customers stick on.

Telecom players like **Airtel and Jio** are examples of switching costs especially in the pre MNP (Mobile Number Portability) era where customers had to retain their mobile number for statutory and other purposes no matter how dissatisfied they were with the operator.



Core banking software provided by **Infosys (Finacle)**, **TCS (BaNCS)**, **Oracle (Flexcube)** and **Intellect Design Arena** are examples of products offered which has high switching costs to consumers. Brokerages like **Zerodha**, **Groww** and **ICICI securities** are examples of companies which has high switching costs.

3. Efficient Scale



Efficient scale of operations when coupled with lower cost benefits that it can generate acts a powerful MOAT that fends off competition. When organizations build scale, it also leads to operating leverage and increased efficiency levels driving down prices or improving profit pools. Scale coupled with some kind of license, patents or regulatory support acts as force multiplier that boosts profits.



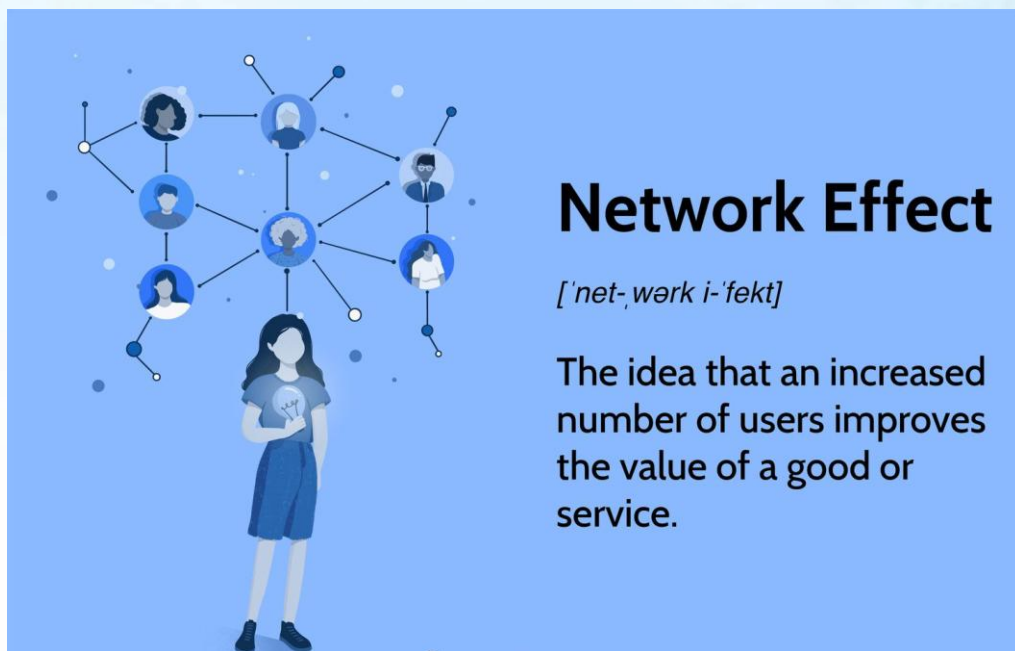
Classic example from Indian context is **Interglobe Aviation (Indigo Airlines)**. Indigo has captured circa 60% of the Indian aviation market by a combination of scale and cost leadership through operational efficiency. Indigo operates only its wide body Airbus A320 ensuring higher efficiency, quick turnaround time and lowest cost per employee. With 400+ airlines it has the largest fleet in Indian skies by far.

Few other companies which has mastered the MOAT of Scale efficiencies are **Reliance Group and Adani**. Reliance Petroleum has built the worlds largest refinery in Jamnagar. Reliance Retail has the largest store network in its multiple formats encompassing Supermarkets, Fashion etc. Similarly, Adani group operates the largest Port network, Airports and Power utilities in India through its companies like **Adani Power, Adani Green Energy, Adani Ports and Adani Enterprises**.

It is pertinent to note that Scale of operations alone can't be considered as a MOAT. The Scale of operations coupled with operational efficiency leading to barriers for entry for new players acts as a powerful MOAT.



4. Network Effects



Network effects are like parties—the more people attend, the better they become. Several companies that are market leaders thrive and prosper due to Network effects. Services that are irreplaceable in our day-to-day life like Whatsapp, facebook, twitter etc are classic examples of Network effects.

The reason why most of us rely on whats app is because the sending party and receiving party and almost everyone with a smart phone has whatsapp.

Companies like Apple are masters of using the power of Network effects.

Apple with their proprietary apple eco system, icloud and smart devices nudge more and more users to move to Apple. Other examples of Network effect are **Master card and VISA**. Infact if we think about it almost all companies called as the magnificent 7 (**Alphabet, Amazon, Apple, Meta, Nvidia, Tesla, Microsoft**) survive and thrive due to the huge network effects that they have nurture over a period of time which acts as a super strong MOAT.



Indian Companies displaying Network effects:

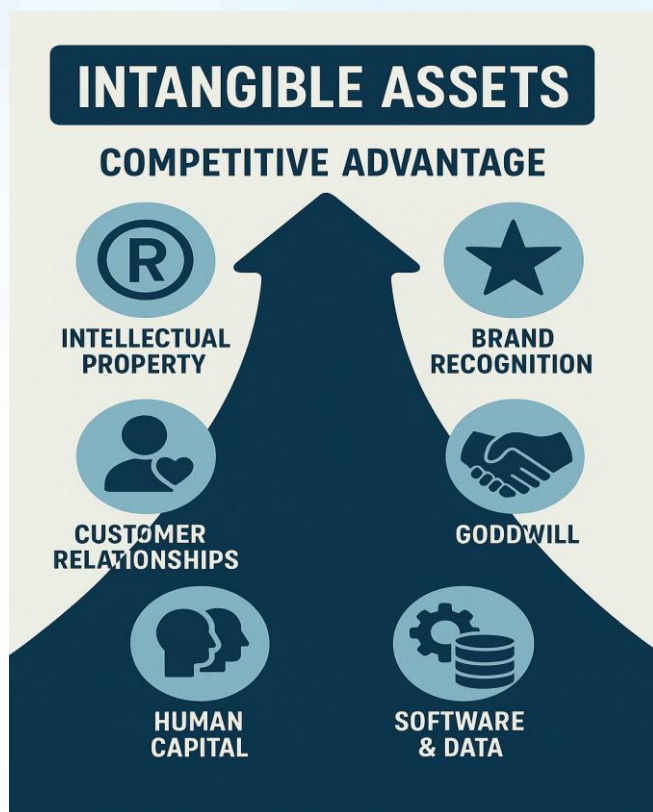
There are several companies that can boast of network effects. Some of the examples include:

1. **Jio/ Airtel**
2. **PayTM/Google Pay/Phone Pay**
3. **Zomato/Swiggy**
4. **OLX (Cartrade.com)**
5. **Makemytrip.com, Yatra.com**

In fact, network effects are the reason why most of these companies in the launch phase offer you crazy discounts. Once a substantial customer base is acquired, then the principle of network effects will take care of the rest. Probably a classic example of this is the launch of Reliance Jio services free of cost. This created a strong base for the company, and once they created a credible base and market leadership, they could seamlessly raise prices and capitalise on their network effects to acquire even more customers.



5. Intangible Assets



Intangible assets are non-physical assets that have substantial value for a business. Unlike tangible assets (like machinery, buildings, or inventory), intangible assets **include intellectual property, brand reputation, license, customer relationships, human capital, goodwill, and software or data.**

Intellectual Property: Several companies protect and make a windfall of profits using their Intellectual property like Patents, Trademarks and Copyrights. **Novo Nordisk and Eli Lilly** are recent examples of companies generating huge sales and profits on their successful GLP-1 anti-diabetic and weight loss drugs. Similarly, **Moderna and Pfizer** sold their Covid Vaccines in droves protected by their IP's. The entire pharma industry works on the model of Patent protection, First to file in Generics etc.



Brand Recognition: Think about **Apple** products, customers are willing to pay a substantial premium over competitors for Apples' products as they feel affinity to their brand and its ecosystem. Companies like **LVMH (Louis Vuitton), Ferrari, Rolex, Hermes** etc sell their overpriced Veblen goods also based on this.

Goodwill: Goodwill is the Positive perception beyond the asset value of the business. Classic Example is the enormous Goodwill enjoyed by the **TATA** group India.

Licences: Several PSU companies in defence, oil&gas , Power , utilities etc enjoy near monopoly due to the licenses obtained . Examples include **Bharat Electronics, HAL, Bharat Dynamics, Indian OIL, Coal India,ONGC, Power Grid etc.**

Other forms of Intangible assets include Customer Relationships, Human Capital, Software and data etc.



How do we Identify Companies with an Emerging Moat?

1. Companies with Sustained High ROIC

Capitalism by definition is brutal in nature and profits generally attract competition. These competitors will play every game in the play book to snatch market share and drive down profits.

Buffet says:

We think of every business as an economic castle. And castles are subject to marauders. And in capitalism, with any castle . . . you have to expect . . . that millions of people out there . . . are thinking about ways to take your castle away. Then the question is, “What kind of moat do you have around that castle that protects it?”

Source : Outstanding Investor Digest, December 18, 2000

If a company is able to generate high returns on invested capital for a sustained period of time, then the assumption is that, it has some durable MOAT due to which it has the capability of fending off competition.



2. Sustained High Gross Margins

Sustained high gross margins relative to the industry is another early indicator for identifying companies with emerging MOAT. High Gross margins relative to other companies in the industry is an indicator that the company is able to charge higher or is able to contain costs effectively. In either case it is reflective of the superior competitive position that the company enjoys in the industry. High Gross margins have to be viewed in the context of the industry that the company operates in.

3. High Market Share

Sustained high market share in an industry is also indicative of the wide MOAT enjoyed by the company relative to the peers. It can be any of the sources of MOAT as explained earlier that is responsible for the high market share. It means that customers are willing to pay a premium or are finding value in the company and its products or services despite competition.

Conclusion

Beating the market consistently is harder than finding a needle in a hay sack. But identifying companies with strong MOATs—Buffett’s proverbial castle walls—can make the game easier and more fun. Just remember, even the strongest MOAT isn’t invincible; just ask Asian Paints, recently under siege despite decades of dominance. At **MOAT India**, we enjoy hunting for these fortified businesses, helping clients build their own generational wealth.



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